

ADVANCED ACCOUNTING (110)

—Secondary—

STATE – 2019

Multiple Choice:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Problems:

Problem 1: Allocation of Costs _____ (24 points)

Problem 2: Adjusting Entries _____ (26 points)

Problem 3: Financial Statement Analysis _____ (30 points)

Problem 4: Corporate Journal Entries _____ (34 points)

TOTAL POINTS _____ ***(144 points)***

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

No more than ten (10) minutes orientation
No more than ninety (90) minutes testing time
No more than ten (10) minutes wrap-up

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General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into two parts. The multiple choice should be completed first, then the accounting problems may be completed in any order.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals.
- Use 360 days for interest calculations.

MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

1. How do you distinguish between current and long-term liabilities?
 - a. Current liabilities are currently due and long-term liabilities are due in the future.
 - b. Current liabilities are due within the next year and long-term liabilities are due in longer than one year.
 - c. Current liabilities are currently due and long-term liabilities are due in longer than one year.
 - d. Current liabilities are due within the next six months and long-term are due in the future.
2. The Matching Principle tells us
 - a. we match the assets and liabilities in the period they belong.
 - b. we match the assets and the owner's equity in the period they belong.
 - c. we match the revenues and drawing in the period they belong.
 - d. we match the revenues and expenses in the period they belong.
3. Which of the following principles *require* that we prepare financial statements in dollars and cents?
 - a. Unit of Measure
 - b. Matching Concept
 - c. Cost Concept
 - d. Revenue Recognition Concept
4. What type of budget shows varying levels of activity?
 - a. Activity Budget
 - b. Adjustable Budget
 - c. Flexible Budget
 - d. Common Budget
5. How do you calculate the current ratio?
 - a. Current Assets less Current Liabilities
 - b. Current Assets plus Current Liabilities
 - c. Current Assets multiply by Current Liabilities
 - d. Current Assets divided by Current Liabilities
6. Service fees received in advance are called _____.
 - a. Unearned Fees
 - b. Unbilled Fees
 - c. Service Fees Earned
 - d. Advance Fees

7. Accrued wages of \$ 990 are recorded in which of the following entries?
- | | | | |
|----|---------------|--------|--------|
| a. | Wages Expense | \$ 990 | |
| | Accrued Wages | | \$ 990 |
| b. | Wages Accrued | 990 | |
| | Wages Payable | | 990 |
| c. | Wages Expense | 990 | |
| | Wages Payable | | 990 |
| d. | Wages Accrued | 990 | |
| | Accrued Wages | | 990 |
8. Prepaid expenses are what type of account?
- a. Assets
 - b. Liabilities
 - c. Revenues
 - d. Expenses
9. In which market will the company receive cash when selling their stock?
- a. Primary Market
 - b. Secondary Market
 - c. Treasury Market
 - d. None of the above
10. Corporations _____.
- a. must pay dividends to entice stockholders
 - b. must pay dividends according to the SEC
 - c. may pay dividends to entice stockholders
 - d. do not pay dividends to entice stockholders
11. Cash dividends are originally recorded when _____.
- a. declared.
 - b. owed.
 - c. paid.
 - d. required.
12. What accounts would *both* be credit balances?
- a. Paid in Capital and Treasury Stock
 - b. Retained Earnings and Treasury Stock
 - c. Paid in Capital and Common Stock
 - d. Treasury Stock and Common Stock
13. Which method of analyzing an income statement shows the gross profit rate?
- a. Gross Profit Analysis
 - b. Horizontal Analysis
 - c. Sales Analysis
 - d. Vertical Analysis

14. Earnings per share is calculated by:
- Revenue less Preferred Dividends / Number of Common Shares
 - Revenue less Preferred Dividends / Common Stockholders' Equity
 - Net Income less Preferred Dividends / Number of Common Shares
 - Net Income less Preferred Dividends / Common Stockholders' Equity
15. Using the information below, what is the amount of working capital?

	Debit	Credit
Cash	\$ 10,000	
Accounts Receivable	2,500	
Supplies	9,000	
Accounts Payable		\$ 3,000
J. D., Capital		18,000
J. D., Drawing	1,500	
Fees Earned		<u>6,000</u>
Salaries Expense	2,700	
Utilities Expense	1,200	
Miscellaneous Expense	<u>100</u>	
Totals	<u>\$ 27,000</u>	<u>\$ 27,000</u>

- \$ 2,000
- \$16,500
- \$18,000
- \$18,500

Problem 1 (24 points) - The Abbley Corporation allocates payroll, IT, and maintenance costs across its three departments. Payroll costs are allocated by number of paychecks, IT costs by requisitions, and maintenance costs by square footage. Complete the following table indicating the rate (%) and allocation of the costs per department for the month of September 2019.

	Number of Paychecks	IT Requisitions	Square Footage by Dept.
Department #1	50	110	1,200
Department #2	90	180	3,750
Department #3	60	210	2,550
Total Cost for Payroll	\$121,900		
Total Cost for IT	322,000		
Total Cost for Maintenance	194,000		

Abbley Corporation
Allocation of Departmental Expenses
For the Month Ending September 30, 2019

	Payroll Rate (%)	Payroll Cost Allocation	IT Rate (%)	IT Allocation	Maintenance Rate (%)	Maintenance Allocation
Department #1						
Department #2						
Department #3						
Total						

- The supplies account had a beginning balance of \$370 and \$4,800 of supplies have been purchased during the month. An inventory has been taken at month end and reveals \$510 left.
- The depreciation of equipment is \$190.
- The depreciation of the building is \$615.
- The Unearned Fees liability account consists of \$15,000 of cash paid in advance from a customer for 5 months of service. The first month has now been earned.
- The December utility bill of \$3,125 is received in January.
- The accrued wages for end of December are \$11,900.

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Problem 3 (30 points) - Using the following financial information for the Sorenson Corporation, calculate the financial ratios listed in the table that follows.

**Sorenson Corporation
Income Statement
For the Years Ended September 30, 2019 and 2018**

	2019	2018
Sales	\$ 1,155,000	\$ 1,004,000
Cost of Goods Sold	<u>580,000</u>	<u>550,000</u>
Gross Profit	<u>575,000</u>	<u>454,000</u>
Operating Expenses:		
Salary and Wages Expense	80,000	70,000
Utilities Expense	67,000	78,000
Depreciation Expense – Building	10,000	10,000
Depreciation Expense – Vehicles	5,000	4,900
Depreciation Expense – Equipment	3,900	3,600
Repairs Expense	3,100	2,900
Insurance Expense	2,800	2,700
Supplies Expense	1,500	1,800
Miscellaneous Expense	<u>200</u>	<u>250</u>
Total Operating Expenses	<u>173,500</u>	<u>174,150</u>
Net Income	<u>401,500</u>	<u>279,850</u>

**Sorenson Corporation
Retained Earnings Statement
For the Years Ended September 30, 2019 and 2018**

	2019	2018
Retained Earnings, Beginning	<u>\$ 1,538,500</u>	<u>\$ 1,348,650</u>
Net Income (Loss)	401,500	279,850
Less Dividends	<u>-90,000</u>	<u>-90,000</u>
Increase (Decrease) in Retained Earnings		
Retained Earnings, Ending	<u>\$ 1,850,000</u>	<u>\$ 1,538,500</u>

Sorenson Corporation
Balance Sheets
September 30, 2019 and 2018

	2019	2018
Assets		
Current Assets:		
Cash	\$150,700	\$ 150,300
Accounts Receivable	213,000	217,200
Inventory	34,100	44,500
Prepaid Insurance	<u>13,200</u>	<u>12,000</u>
Total Current Assets	<u>411,000</u>	<u>424,000</u>
Property, Plant & Equipment:		
Land	1,450,000	900,000
Building	850,000	850,000
Less Accumulated Depreciation – Building	(160,000)	(120,000)
Vehicles	180,000	180,000
Less Accumulated Depreciation – Vehicles	(108,000)	(72,000)
Equipment	1,800,000	1,800,000
Less Accumulated Depreciation – Equipment	<u>(265,000)</u>	<u>(240,000)</u>
Total Property, Plant, and Equipment	<u>3,647,000</u>	<u>3,298,000</u>
Total Assets	<u>\$ 4,158,000</u>	<u>\$3,722,000</u>
Liabilities		
Current Liabilities:		
Accounts Payable	\$ 50,010	\$ 11,560
Salaries and Wages Payable	76,156	10,106
Unearned Rent	30,000	0
Current portion of Long Term Debt	<u>61,834</u>	<u>61,834</u>
Total Current Liabilities	<u>218,000</u>	<u>83,500</u>
Long-Term Liabilities:		
Mortgage Note Payable	<u>800,000</u>	<u>810,000</u>
Total Liabilities	<u>1,018,000</u>	<u>893,500</u>
Stockholders' Equity		
Common Stock \$10 par (10,000 authorized, 9,000 issued)	90,000	90,000
Paid in Capital from sale of Common Stock	1,200,000	1,200,000
Retained Earnings	<u>1,850,000</u>	<u>1,538,500</u>
Total Stockholders' Equity	<u>3,140,000</u>	<u>2,828,500</u>
Total Liabilities and Stockholders' Equity	<u>\$ 4,158,000</u>	<u>\$ 3,722,000</u>

Calculate the financial ratios for 2019. (Round calculations to the nearest tenth or tenth percent, unless the answer is currency):

1. Working Capital	
2. Current Ratio	
3. Quick Ratio (Acid-Test Ratio)	
4. Accounts Receivable Turnover	
5. Number of Days in Receivables	
6. Inventory Turnover	
7. Number of Days in Inventory	
8. Debt to Equity	
9. Rate earned on Average Stockholders' Equity	
10. Earnings Per Share	

General Journal

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